EXECUTIVE SUMMARY

A. Introduction

Peñablanca is one of the 29 towns of Cagayan. It is approximately 9 kilometers road distance to Tuguegarao City. It has a total land area of 119,320 hectares with 24 barangays.

Peñablanca means "white rock" named after the beautiful drift of Callao Caves of which the Municipality takes pride.

The Municipality's vision is to be a premier eco – tourist destination of the country that guarantees not only the sustainable growth and development of Peñablanca but also to ensure the optimum preservation and protection of the environment with people living in an improved quality of life dignity and good moral values distinct only to the Filipinos.

To fulfill this vision, the Municipal Government program is centered on the provision of basic services, through enhancement of productivity on agricultural sector, electrification of remote barangays, promotion of optimal use of available resources through cooperatives, full support on social and health programs centered on the poor of Peñablanca.

The audit covered the year 2020 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations were complied with; and whether funds were utilized in the most efficient, effective and economical manner. Financial, compliance and value-for-money audit were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Peñablanca for the year ended December 31, 2020, with comparative figures for CY 2019, are as follows:

Accounts	2020	2019	Increase/ (Decrease)
Assets	539,460,132.58	455,123,012.51	84,337,120.07
Liabilities	15,995,732.48	26,015,235.08	(10,019,502.60)
Government Equity	523,464,400.10	429,107,777.43	94,356,622.67
Income	386,232,657.75	321,084,984.52	65,147,673.23
Expenses	300,164,466.03	276,038,231.40	(24,126,234.63)

Accounts	2020	2019	Increase/ (Decrease)
Appropriation	456,107,070.87	407,226,428.54	48,880,642.33
Obligations	343,063,345.49	331,090,334.86	11,973,010.63

The funds received by the LGU and funds transferred to other agencies and non-government and people's organizations for CY 2020, with comparative figures for CY 2019, are shown below:

Fund Transferred to Other Agencies	2020	2019	Increase/ (Decrease)
Local Gov't Units	266,400.00	350,000.00	(83,600.00)

Fund Transferred from Other Agencies	2020	2019	Increase/ (Decrease)
Nat'l Gov't Offices	68,152,914.61	32,528,218.00	35,624,696.61
Local Gov't Units	100,000.00	3,000,000.00	(2,900,000.00)

C. Independent Auditor's Report on the Financial Statements

The auditor rendered a qualified opinion on the presentation of the financial statements of the Municipality of Peñablanca as of December 31, 2020 due to the following:

1. Procurement of food supplies**,** welfare goods, drugs and medicines for distribution and consumption Totaling P29,184,123.62, were recorded as outright expenses, which is not in accord with Sections 187, 188, and 190, Volume 1 of the Local Government Accounting Manual, thus, casting doubt on the reliability of the Inventory Balances and the propriety of distribution and consumption of the goods.

2. Property, Plant and Equipment, under the Special Education Fund amounting to P1,377,366.24, were not provided with depreciation for the year; while the accumulated depreciation for Information and Technology Equipment is greater by P2,831.97 than its cost, thereby rendering the affected accounts unreliable.

3. The receipt and disbursements of the Bayanihan Grant to Cities and Municipalities amounting to P28,893,849.00 and P28,848,531.02, respectively, were not reflected in the Statement of Comparison of Budget and Actual Amounts, and Status of Appropriation, Allotment, Obligation and Balances, which is not in accord with Item 3.7 of LBC 125, and Section 161, Volume 1 of the Local Government Accounting Manual, thereby affecting the fairness of the presentation of the financial statements; while the Fund Receipt and Utilization Report for other Special Accounts was not submitted, which is

not in accord with Section 163 of the same Volume of the Manual, thus the early detection of deficiencies was not possibly made.

D. Summary of Significant Observations and Recommendations

1. **The Municipality did not prepare and submit the Reports on the Receipt and Utilization of the DRRMF, sourced from the National Disaster Risk Reduction and Management Fund, and cash donations from the different sources, totaling to P5,463,119.00, as required under COA Circular 2014-002 dated April 15, 2014, which resulted to the delay in the review of the receipt and utilization of cash donations and the communication of audit results.**

   We recommended that the Management require the Municipal Accountant and Municipal Budget Officer to prepare and submit the Reports on the Receipt and Utilization of the DRRMF sourced from NDRRMF under the FY 2020 GAA and other Cash Donations to the Office of the Civil Defense, and copy furnish the Audit Team.

   We also recommended that the Management comply strictly with COA Circular 2014-002 dated April 15, 2014 to avoid delay in the review of the receipt and utilization of cash donations and the communication of audit results.

2. **The Municipality failed to post its procurement information in the GPPB online Portal for Emergency Procurement under Republic Act. 11469 or the Bayanihan Act, which is not in accord with Item 9.0 of GPPB Circular 01-2020, Item 3.0 of GPPPB Advisory 04-2020, and Item 3.0 of GPPB Advisory 05-2020, resulting to the remote achievement of accountability and transparency in its procurement of highly needed supplies, materials, and equipment during the affectivity of the Bayanihan Act.**

   We recommended that the Management submit their justification for the non-compliance with the posting requirements of the GPPB Circular and Advisories. We also recommended that for the current and future transactions of the Municipality, the Management should faithfully conform with the requirements of all Regulatory Bodies to achieve good governance.

3. **The Municipality paid the services of two (2) Job Order Personnel, who also served as Barangay Kagawad and SK Chairman, respectively, which is not in accord with DILG Opinion No. 67, S. 2018, doubting the regularity of the disbursements.**

We recommended that the Management strictly adhere with the aforementioned DILG Opinion and stop contracting job order personnel who are either elective or appointive public officers or employees.

We also recommended that the management revisit their policies on the hiring Job Order Personnel, and align the same with existing laws, rules and regulations.

E. Summary of Suspensions, Disallowances and Charges

The following are the summary of suspensions, disallowances and charges as of December 31, 2020:

Particulars	Beg. Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	3,021,482.67	0.00	0.00	3,021,482.67	0.00
Current Year	0.00	0.00	0.00	0.00	0.00
Total	**3,021,482.67**	**0.00**	**0.00**	**3,021,482.67**	**0.00**
Disallowances					
Prior Years	177,858.72	0.00	54,250.72	123,608.00	30.50%
Current Year	0.00	0.00	0.00	0.00	0.00
Total	**177,858.72**	**0.00**	**54,250.72**	**123,608.00**	**30.50%**
Charges					
Prior Years	0.00	0.00	0.00	0.00	0.00
Current Year	0.00	0.00	0.00	0.00	0.00
Total	**0.00**	**0.00**	**0.00**	**0.00**	**0.00**

F. Status of Implementation of Prior Year's Audit Recommendations

Out of the 19 audit recommendations embodied in the 2019 Annual Audit Report, 14 were implemented, three (3) were partially implemented and two (2) were not implemented.